

EUROPEAN COUNCIL - DUBLIN

3 - 4 DECEMBER 1984

PRESIDENCY CONCLUSIONS

Addendum

The text of table wine as set out in Annex 1 was agreed at the European Council.

The text of statements by the Greek delegation and the President of the European Council is set out in Annex ii.

TABLE WINE

The Council of Ministers, noting the European Council's conclusion at Fontainebleau that reform of the common market organisation for wine is one of the conditions necessary for successful enlargement of the Community, has examined the Commission's report (8840/84) on the situation in the wine market and its associated proposals (9182/84 and 9469/84). As a result of that examination the Council has taken the following decisions on table wine.

1. The reduction of wine producing potential is an essential element of the reform of the wine market organisation.

The Council has noted the Commission proposals on this and signifies its agreement to the principle of measures to encourage grubbing-up and to limit replanting rights.

The Agriculture Council is given the task of taking the decisions which are necessary, before the next meeting of the European Council, taking the particular conditions of each region into account.

2. In a further effort to improve the structure of the wine sector, only investments to improve wine quality without increasing quantity will be financed under Regulation 333/77 while a regulation to improve the structure of Greek vineyards and the Greek wine industry will be adopted by 31 January 1985 for an area of 20,000 hectares.

3. Other measures are necessary to ensure, as of now, the balance of the wine market, in particular a strengthening of the compulsory distillation machinery as provided for in article 41 of the basic regulation, along the following lines:

- a) Where a serious market imbalance exists, compulsory distillation will be triggered by the Commission under the Management Committee procedure; a serious market imbalance is deemed to exist when
- the stocks as defined in article 41 § 1, first indent, of Regulation 337/79 exceed four months' normal utilisation (1)
 - or when the market prices remain below 82% of the guide price during a representative period
 - or when, for a wine marketing year, the data in the advance estimate show that production is exceeding normal utilisations by more than 9%.
- b) The Commission will fix the quantities which must be sent for compulsory distillation so as to eliminate the production surplus and, in this way, reestablish a normal market situation in particular regarding stock levels and prices.

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(1) Normal utilisation = consumption + net balance of foreign trade.

- c) Where the compulsory distillation is triggered the Commission will make known, before X December, the compulsory distillation obligations of each region, grouped by member State.

While the responsibility for ensuring the implementation of the compulsory distillation thus rests with the Member States (1), the volume to be distilled compulsorily will be divided

- among the regions of the Community in proportion to the production volumes exceeding a specified level for each one of them, equal to a uniform percentage (2) of their average harvest over the three wine years 1981/82, 1982/83 and 1983/84. This average base period may be modified by the Commission after the 1989/90 marketing year to take account of the evolution in production and in particular the results of the grubbing-up policy
- within each region, among producers, on the basis of yield per hectare on a scale fixed by the Commission under the Management Committee procedure. The scale may vary by region account being taken of yields obtained in the past. The producers may subtract the quantities sent for preventive distillation from their obligations under the compulsory distillation. For 1985/86 the rules will be adapted to provide for the administrative arrangements to be applied to Greece for that year.

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1) Statement for the Council minutes: The Council takes note of the Commission statement under which, where the Community provisions on compulsory distillation as they result from the distillation obligation of each region are not observed, the usual sanctions will be applied, particularly as regards the settling of accounts.

2) This uniform percentage valid for all regions of the Community will be determined by the Commission in the light of the quantity decided on (see paragraph (b) above) to eliminate the production surplus for the year in question; for the period up to 1989/90, it shall be set at 85 %.

- d) For the 1985/86, 1986/87 and 1987/88 wine marketing years the price of compulsory distillation will be 50% of the guide price for the first 10 million hl of such distillation and 40% for quantities in excess of that.

The Council shall review the prices for the 1988/89 and 1989/90 wine marketing years in the light of the progress in reducing the imbalance in the table wine sector

- e) These additional measures will in principle continue until the end of the 1989/90 marketing year. The Council, on the basis of a report from the Commission dealing in particular with the effect of the structural measures and including where appropriate proposals on the future organisation of the wine market, shall decide whether they can be repealed or replaced by other measures that will guarantee balance in the wine market.

4. The Council requests the Commission to undertake a thorough study of the possibilities of using concentrated must and sugar and to report back to it in 1990. The Council will then take a view on the measures to be taken in the area of enrichment.

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The degree of alcohol obtained by the use of sucrose or reduced-price concentrated grape must will be deducted on a flat-rate basis when the buying-in price for distillation is calculated. Furthermore from 1988 the quantity of table wine to be distilled in the Federal Republic of Germany shall not exceed 1 million hectolitres. In years in which, owing to weather conditions or market trends, this limitation might lead to serious disruption of the market, the Council will make the appropriate adjustment.

5. No changes are made in the present arrangements in regard to quality wines PSR.
 6. The Council undertakes to apply a restrictive price policy in the wine sector, as proposed by the Commission, just as long as the compulsory distillations show the existence of surpluses not marketable in normal conditions.
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ANNEX II

statement by the greek prime minister at the european council dublin
on 4 december

the greek delegation does not agree with enlargement unless a
satisfactory position of the community is taken on integrated
mediterranean programmes. this is also the greek position
concerning wine.

statement by the president of the european council on 4 december

the negotiations on enlargement will therefore have to proceed on
an ad referendum basis in view of the above declaration, placing
a greek reserve on this issue.